Department of Education
SCHOOLS DIVISION OF CITY OF MEYCAUAYAN
Pag-asa St., Malhacan, City of Meycauayan, Bulacan

Senior High School

12

Activity Sheet in

Fundamentals of Accountancy,Business and Management 1

COMPLETING ACCOUNTING CYCLE- CLOSING ENTRIES, POST-CLOSING TRIAL BALANCE & REVERSING ENTRIES

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COMPLETING ACCOUNTING CYCLE- CLOSING ENTRIES, POST-CLOSING TRIAL BALANCE & REVERSING ENTRIES

LET US KNOW

We have learned the relationships among the financial statements. Financial statements are based on the same data gathered .

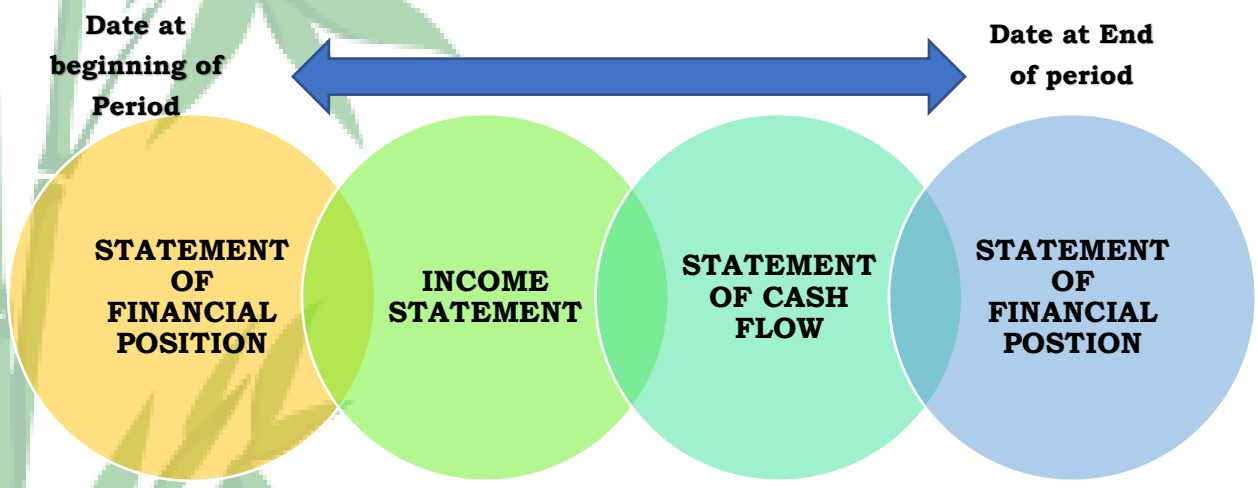

Figure 1 Relationship of Financial Statements

The figure given shows how financial statements related from the beginning of the period to the date at the end of the period. . Its starts with a statement of financial position which gives a user an information about the entities condition , report its performance in the period and its activities . In this activity sheet we are going to tackle the last process of the accounting process which is a very important steps to be processed at the end of the period to finally begin the accounting cycle of the coming year. Like any other books , it has its closing chapters to finally begin a whole new one. In this lesson learners should be able to;

a. eexplain why temporary accounts are closed each period.
b. recognize the need for a post-closing trial balance.
c. Prepare closing entries and post-trial balance as we complete the accounting cycle.

LET US REVIEW

Indicate whether each of the following would appear on the income statement , the statement of changes in equity or balance sheet of Ema Town Skincare Services

Item	Statement of Financial Performance	Statement of Changes in Equity	Statement of Financial Position	Statement of Cash Flow
Supplies on hand at the end of the year				
Additional Investment made by owners				
Investing activities of the Business				
Total Revenue earned during the year				
Total Insurance expired at the end of the year				
The book value of entity's equipment				
Total withdrawals made by the business owners				
Total liabilities the entity				
Financing and Operating activities involving cash				

LET US STUDY

We are about to finish the accounting cycle . After we had done all the necessary adjustments at the end of the period and created the financial statements. Part of the process is to prepare a closing entry for temporary or nominal account. Income, expense, and withdrawal accounts are temporary accounts that occur to a specific accounting period. These account that is classified in the **Statement of Financial Performance**. Every end of the period the balances of this accounts are transferred to the capital account . Thus, the balance of the owner's capital account represents cumulative net result of income, expense, and withdrawal transactions. This procedure is also known as the **closing procedure.**

A temporary account once closed has a value of zero. Closing simply means transfers balance of one account to another account. In this case, the balances of temporary accounts are transferred to the capital account .

An income summary account is used to close income and expense accounts. It has normal balance in the credit side. The example below

Table 1 : Closing an Income Account.

Date	Particular	PR	Debit	Credit	
June 30	Service Revenue	410	₱ 100,000.00		
	Referral Revenue	420	50,000.00		
	Income Summary	610		₱ 150,000.00	

To close an income account . You must record the **revenue account to the debit side and use income summary account** . Revenue has a normal balance in the credit side get the difference then zero balance in the ledger will appear . The total amount will be credited to an income summary account .

Table 2 : Closing Expense Account.

Date	Particular	PR	Debit	Credit
June 30	Income Summary	610	₱ 54,200.00	
	Salaries Expense	510		30,000.00
	Supplie Expense	520		5,000.00
	Rent Expense	530		10,000.00
	Insurance Expense	540		5,000.00
	Utilities Expense	550		2,000.00
	Depreciation Expense- Serv . Vehicle	560		1,000.00
	Depreciation Expense- Equipment	570		1,200.00

To close an expense account with a normal balance of debit . The account classified in this account should be recorded in **credit side** and **debited to the income summary account** to arrive in zero balance account.

Table 3 : Closing Income Summary Account

Date	Particular	PR	Debit	Credit
June 30	Income Summary	610	₱ 95,800.00	
	Tumangan, Capital	320		₱ 4,000.00

After posting the closing entries of expense and income account the balance of the income summary account must be balance to the profit or loss for the period. A credit amount is considered profit and loss in the debit. . This account will be close to the capital account.

Table 4 : Closing a withdrawal account

Date	Particular	PR	Debit	Credit
June 30	Tumangan, Capital	310	₱ 4,000.00	
	Tumangan, Drawing	320		4,000.00

The withdrawal account is a contra equity account which reduces capital during the period. For this reason the withdrawal account must be recorded to the credit side and capital account into the debit side to close the said account.

Preparation of Post -Closing Trial Balnce

The figure below shows the process of preparation post-trial balance

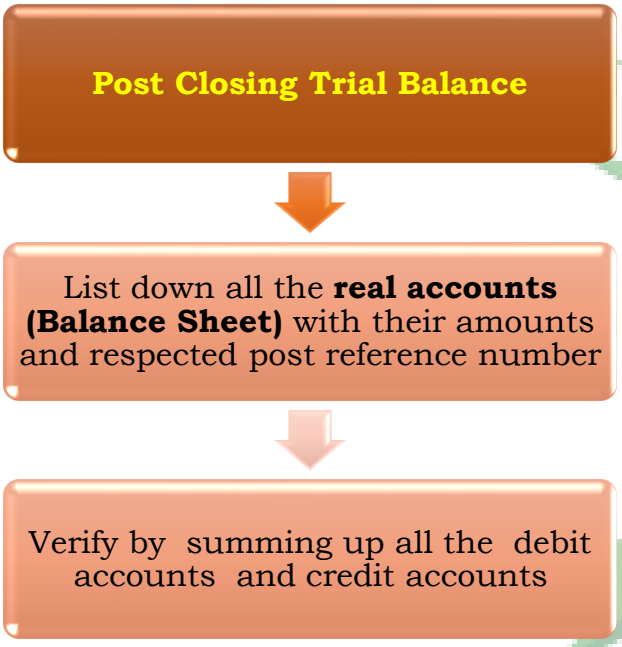

Figure 2: Preparation OF Post-Trial Balance

The figure 3 below is an example of a prepared post-closing trial balance . It is a final trial balance that verifies that all debits equals the credits in the trial balance . It contains only balance sheet items such as assets, liabilities and owners equities ending balance because all income ,expense and withdrawal account have zero balance because this has been closed

	Tumangan Law Office		
	Post-Closing Trial Balance		
	June 30, 20 XX		
110	Cash	₱ 100,000.00	
120	Accounts Receivable	40,000.00	
130	Supplies	5,000.00	
140	Prepaid Insurance	6,000.00	
150	Equipment	15,000.00	
160	Service Vehicle	200,000.00	
210	Notes Payable		₱ 22,000.00
220	Accounts Payable		10,000.00
310	Tumangan , Capital		334,000.00
	Total	**₱ 366,000.00**	**₱ 366,000.00**

Figure 3 Post Closing Trial Balance

Reversing Entries

A reversing entry is a journal entry which is the exact opposite of a related adjusting entry made at the end of the period. It is basically a bookkeeping technique made to simplify the recording of regular transactions in the next accounting period. Reversing entries are **optional.**

To show how reversing entries is helpful . Here are the examples of adjusting entry made in Tumangam Law Office in accrued salaries expense.

Date	Particular	PR	Debit	Credit
June 30	Salaries Expense		₱ 1,800.00	
	Salaries Payable			1,800.00

When the employees are paid on the next regular pay day would be:

Date	Particular	PR	Debit	Credit
June 30	Salaries Payable		₱ 1,800.00	
	Salaries Expense		5,400.00	
	Cash			7,200.00

When the payment is made, without prior reversing entry , the bookkeeper must look into the record to find out how much of the ₱7,200 applies to the current accounting period and how much was accrued at the beginning of the period.Observed the following sequence of transactions and their effects on the ledger account-salaries expense

Adjusting Entry

Date	Particular	PR	Debit	Credit
June 30	Salaries Expense		₱ 1,800.00	
	Salaries Payable			1,800.00

Closing Entry

Date	Particular	PR	Debit	Credit
June 30	Income Summary		₱ 15,600.00	
	Salaries Expense			15,600.00

Reversing Entry

Date	Particular	PR	Debit	Credit
June 30	Salaries Payable		₱ 1,800.00	
	Salaries Expense			1,800.00

Payment Entry

Date	Particular	PR	Debit	Credit
June 30	Salaries Expense		₱ 7,200.00	
	Cash			7,200.00

LET US PRACTICE

Identifying and Journalizing Closing Entries

Ms. Sofia Tumambing is an owner of jewelry repair shop in City of Meycauayan, Bulacan . She has posted the adjusting entries from a to e to the accounts on December 31, 2019. All the income expense and equity accounts of the entity are listed here in T-account form: **Required : Journalize the closing entries.**

Accounts Receivable			
	Debit	**Credit**	
	₱ 230,000.00		
(e)	₱ 35,000.00		

Pascual Withdrawals		
	Debit	**Credit**
	₱ 524,000.00	

Supplies			
	Debit	Credit	
	₱ 40,000.00	₱ 20,000.00	(a)

Service Revenue			
	Debit	Credit	
		₱ 1,030,000.00	
		₱ 35,000.00	(e)

Accumulated Depreciation- Furniture			
	Debit	Credit	
		₱ 50,000.00	
		₱ 30,000.00	(b)

Salaries Expense		
	Debit	Credit
	₱ 280,000.00	
(d)	₱ 15,000.00	

Accumulated Depreciation- Building			
	Debit	Credit	
		₱330,000.00	
		₱ 60,000.00	(c)

Supplies Expense		
	Debit	Credit
(a)	₱ 20,000.00	

Salaries Payable			
	Debit	Credit	
		₱ 15,000.00	(d)

Depreciation Expense Furnitur		
	Debit	Credit
(b)	₱ 30,000.00	

Tumambing , Capital			
	Debit	Credit	
		₱ 494,000.00	

Deprecitaion Expense- Building		
	Debit	Credit
(c)	₱ 60,000.00	

LET US REMEMBER

- Every end of the period the balances of this accounts are transferred to the capital account. Thus, the balance of the owner's capital account represents cumulative net result of **income, expense, and withdrawal transactions**. This procedure is also known as the **closing procedure.**
- **Post-closing trial balance** , is a final trial balance that verifies that all debits equals the credits in the trial balance . It contains only balance sheet items such as assets, liabilities and owners equities ending balance because all income ,expense and withdrawal account have zero balance because this has been closed

LET US APPRECIATE

Fernand Kevin Dumalay is an education consultant , began his practice on December 1,2020. The transactions of his services are as follows

Date	Transactions
December	
1	Dumalay invested ₱150,000 in his firm.
2	Paid rent for Decmber to Archer's Realty, ₱8,000.
2	Purchased Supplies on account, ₱7,200.
3	Acquired ₱75,000 of office equipment , paying ₱37,000 down
	with the balance due in 30 days.
8	Paid ₱ 7,200 on account for supplies purchased.
14	Paid assistant's salaries for two weeks ₱ 6,000.
20	Performed consulting services in one of the pretigious for ₱ 20,000.
28	Paid assistant's salaries for two weeks ₱ 6,000.
30	Billed clients for December consulting services, ₱ 48,000.
31	Detoya withdrew ₱ 12,000 from the business.

Required :

1. Open the following ledger accounts, using the account number shown;

110	Cash	155	Accounts Payable	410	Consulting Revenues
120	Fee's Receivable	210	Salaries Payable	510	Salaries Expense
130	Supplies	310	Dumalay , Capital	520	Supplies Expense
140	Office Equipment	320	Dumalay , Drawing:	530	Rent Expense
150	Accumulated Depreciation	330	Income Summary	540	Depreciation Expense

2. Journalize the December transactions and post to ledger.
3. Prepare the complete worksheet using the following information.
   a) Supplies on hand on December 31, 2020 amounted to ₱4,700.
   b) Salaries of ₱1,800 have accrued at the end of the month- end.
   c) Depreciation is ₱800.00 for December.
   d) Dumalay has spent 20 hours on education management case during December. When completed in January, his work will be billed at ₱500 per hour. Note the firm uses the account fees Receivable to reflect the amount earned but not yet billed.
4. Prepare an income statement, statement of changes in equity, balance sheet and statement of Cashflows.
5. Journalize and post adjusting and closing entries.
6. Prepare a post-closing trial balance.
7. Journalize and post the reversing entries.
8. Journalize and post the reversing entries.

LET US PRACTICE MORE

The following is in the income summary account of Teresita Alcantara Services on December 31, 2020.

Income Summary			
	Debit	Credit	
	₱ 197,000.00	₱ 190,000.00	

Required :

a) What do the figures in the account represents?
b) What is the profit and loss?
c) Close the income summary account.

EVALUATION

Choose the correct letter of an answer . Write your answer on the separate sheet of paper.

1. Closing entries reduce the following type of accounts to a zero balance at the end of the period.
   a) Income and Expense
   b) Income Summary
   c) Withdrawals
   d) All the above
2. The purpose of post-closing trial balance is to_____
   a) provide the account balances for the preparation of balance sheet.
   b) ensure that the ledger is in balance for completion of worksheet.
   c) aid the journalizing and posting of the closing entries.
   d) ensure that the ledger is in balance for the start of the next period.
3. Which of the following accounts will appear on the post-closing trial balance?
   a) building
   b) depreciation expense- building
   c) owner's Withdrawals
   d) service revenue
4. A final check on the adjusting and closing process is provided by the
   a) worksheet
   b) financial statements
   c) post-closing trial balance
   d) adjusted trial balance.

5. If the last item on a trial balance reads “Owner’s Equity”, this must be the
    a) post-closing trial balance
    b) unadajusted trial balance
    c) adjusted trial balance.
    d) reversed trial balance.
6. If a trial balance were to prepare on the first day of New year, and the account Salaries Expense had a credit balance, you would know that.
    a) The trial balance is a post-trial balance.
    b) The adjusting entries have been recorded.
    c) the trial balance is an adjusted trial balance.
    d) reversing entry has been made.
7. Reversing entries are_____
    a) optional
    b) Made to record a change in corporate objectives.
    c) Required by generally accepted accounting principles.
    d) Made prior to preparing a post-closing trial balance.
8. Which of the following comes last in the accounting process?
    a) Preparation of post-closing trial balance
    b) Preparation of an adjusted trial balance
    c) Worksheet preparation
    d) Journalizing external transactions.

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